was further raised to 12.5 per cent. Budget 2020 continued with the tradition and import duty was raised on several items, such as fans, water heaters, shoes, mattresses, refrigerators, air-conditioner compressors, electric vehicles, and so on. Effective import duties have gone up substantially in the past three to four years.

Relying on Self-Reliance Again

The promotion of Make in India has been provided as the rationale for continuously raising import duties. In addition, our trade policies have sought to achieve certain specific objectives, such as discouraging/stopping imports from China, taking on the US in the tariff war launched by former US President Donald Trump and protecting Indian industry from global dumping. Finally, Prime Minister Modi announced the goal of Atmanirbhar Bharat in his address to the nation on 12 May 2020, following it up with his speech on Independence Day on 15 August 2020.

In his address on 12 May, the Prime Minister called for achieving self-reliance to win the war against the novel coronavirus outbreak and ‘emerge as a global leader’. In his speech on Independence Day, he exhorted the nation to be ‘vocal for local’ to achieve the goal of Atmanirbhar Bharat by using local products.

A few other policies were also taken up to encourage Make in India, such as a phased manufacturing programme for mobile phones and the major initiative on PLI schemes for as many as thirteen sectors.

Trade policy developments in the past six years (2014–2020) mark a distinct reversal of the policies pursued since 1991. While the external situation in the 2020s is markedly different than the situation prevalent in the 1950s or 1970s, the call for self-reliance is the same.